

ACME CORPORATION

Human Resources Policy Manual

Leave & Benefits Policy — Version 3.2

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HR Services

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1. LEAVE ENTITLEMENT POLICIES

1.1 Parental Leave

ACME Corporation is committed to supporting employees through major life events. All eligible employees — regardless of gender, sexual orientation, or method of parenthood — are entitled to parental leave in accordance with applicable federal and state laws, including FMLA and CFRA where applicable.

1.1.1 California Employees

California employees are covered by both the federal Family and Medical Leave Act (FMLA) and the California Family Rights Act (CFRA). Under CFRA, employees at locations with 5 or more employees are entitled to **12 weeks** of job-protected parental leave within 12 months of a child's birth, adoption, or foster placement. CFRA leave runs concurrently with FMLA leave where both apply.

California employees may also be eligible for **California State Disability Insurance (SDI)** and **Paid Family Leave (PFL)** benefits, which can provide partial wage replacement during leave. Employees should contact HR Services at hr@acme.com to initiate a claim.

1.1.2 All Other U.S. Employees

Employees outside California are entitled to up to **12 weeks** of unpaid, job-protected leave under FMLA, provided they have worked at least 12 months and 1,250 hours in the preceding year at a location with 50 or more employees within 75 miles. ACME supplements federal FMLA with 4 weeks of **paid parental leave** at 100% of base salary for all full-time employees regardless of FMLA eligibility.

Leave Entitlement Summary

Employee Group	Federal FMLA	State/CFRA	ACME Paid Top-Up	Total Maximum
California FT	12 weeks	12 weeks (concurrent)	4 weeks paid	12 weeks
Other U.S. FT	12 weeks	N/A	4 weeks paid	12 weeks
Part-Time (20+hrs)	Pro-rated	Where eligible	2 weeks paid	Varies
Contract Staff	Not eligible	Not eligible	Not applicable	—

Note: Leave weeks are calendar weeks, not business weeks. Employees taking intermittent leave must provide 2 business days notice where foreseeable.

1.2 Application Process

Employees must submit a Leave of Absence Request Form (Form HR-204) to their manager and to HR Services at least **30 days before** anticipated leave, or as soon as practicable for unforeseeable events. The approval workflow is as follows:

Step	Action	Owner	SLA
1	Submit Form HR-204 via HR Portal	Employee	Day 0
2	Initial review and eligibility check	HR Services	2 business days

3	Manager acknowledgment	Direct Manager	3 business days
4	Medical certification (if applicable)	Employee/Physician	15 calendar days
5	Written approval confirmation	HR Services	5 business days
6	Payroll adjustment	Payroll Team	Next pay cycle

1.3 Benefits During Leave

Employees on approved parental leave continue to receive their existing health, dental, and vision insurance coverage under the same terms as active employees. ACME pays the employer portion of premiums throughout the approved leave period. Employees are responsible for the employee portion of premiums, which may be pre-paid prior to leave or billed during leave depending on the payroll schedule.

2. PAID TIME OFF (PTO) POLICY

2.1 Accrual Schedule

ACME uses a tiered PTO accrual system based on years of service. PTO accrues on a per-pay-period basis (bi-weekly) beginning on the employee's start date. Unused PTO carries over up to a maximum of 1.5× the annual accrual.

Years of Service	Annual PTO	Per Pay Period	Max Carryover	Payout on Exit
0–2 years	15 days	0.577 days	22 days	Yes
2–5 years	18 days	0.692 days	27 days	Yes
5–10 years	22 days	0.846 days	33 days	Yes
10+ years	25 days	0.962 days	37 days	Yes
Directors+	28 days	1.077 days	42 days	Yes

2.2 PTO Request and Approval

PTO requests must be submitted through the HR Portal at least **5 business days** in advance for requests of 3 or more consecutive days. Requests of 1–2 days require at least **48 hours notice** except in cases of unforeseen illness or emergency. Approval authority is as follows:

PTO Duration	Approval Required From	Escalation If Denied
1–3 days	Direct Manager	Skip-Level Manager
4–9 days	Direct Manager + HR	HR Director
10+ days	Manager + HR + VP	CHRO
End-of-year (Dec 15–Jan 5)	Manager + HR + VP	CHRO (mandatory coverage applies)

3. SICK LEAVE

All California employees accrue sick leave at a rate of **1 hour per 30 hours worked**, up to a minimum of 24 hours (3 days) per year under California Healthy Workplaces Healthy Families Act. ACME provides a more generous policy of **10 days (80 hours)** sick leave per year for all full-time U.S. employees, front-loaded on January 1 (or hire date for new employees). Sick leave does not carry over and is not paid out upon termination.

Sick leave may be used for the employee's own illness, injury, or preventive care, or to care for a family member as defined by applicable state law. For absences of **3 or more consecutive days**, a physician's note is required before returning to work. ACME does not require a physician's note for absences of 1–2 days.

